2. Current Account	• This account is suitable for business persons who would like to keep their money in safe custody and withdraw or make payments as and when required. • There is no limit to the number of withdrawals. A person can withdraw his money any number of times. • No interest is paid in this account. • The bank charges for the services of keeping the money safe and offering it whenever required.
3. Fixed Deposit Account	• A certain amount of money is deposited in the bank for a fixed period. • The interest rate varies with the period of investment. The interest rate is higher than that of the ordinary savings account. • After the stipulated period, the principal amount and the total interest is paid to the investor. • An investment up to 1 lakh for 5 years qualifies for tax rebate.
4. Recurring Deposit	• This is an ideal form of savings for those having salaried income with a view to inculcate a regular saving habit. • A fixed amount of money (core money) is deposited every month (only once, between 1st -10th). At the end of the term the amount is paid.

Activity 7

- Find out what is the minimum sum of money needed to start a bank account.
- Find out details on specimen signature card, withdrawal slip, pay in slip, cheque.

7.9.1.2 Post Office

Post offices are situated in every locality and are found even in remote areas. There are various post office schemes, each having its distinct advantages.

1. Post Office Saving Accounts	• For opening of new account the introduction of depositor is necessary by a responsible person. • This is simple account involving a minimum deposit of ₹ 50/- • A cheque book facility is available; subject to a minimum balance of ₹ 500/-* in the account. • Maximum amount allowed in a single account is 1 lakh * and 2 lakh in a joint account. However, there is no limit for group/ institutional account. • The rate of interest is 4 %* per annum.

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